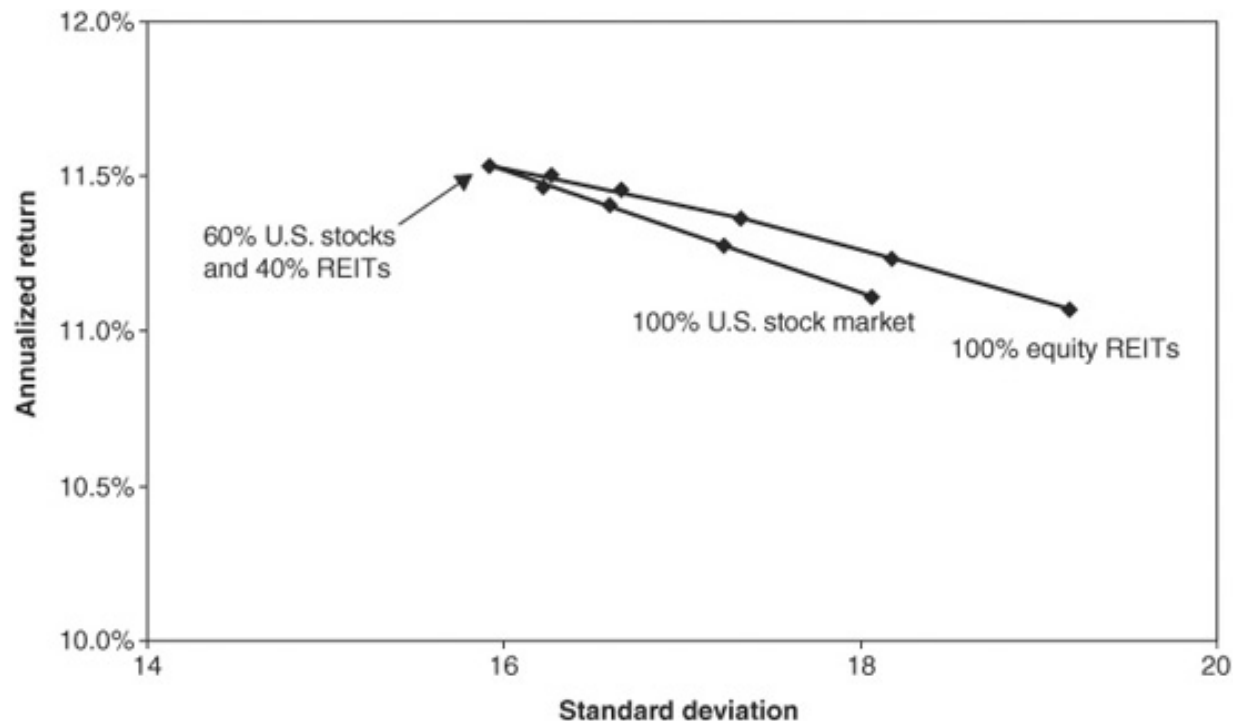


Risk-and-Return Chart for the CRSP Total Stock Market and Wilshire REIT Equity Index, 1980–2009



The benefit of using the Wilshire REIT Index is that it is investible, meaning that there are index mutual funds that track the Wilshire REIT Index.

Real estate prices and interest rates are related. As interest rates fall, real estate prices rise as demand increases. Therefore, many people assume that there must be a high correlation between the return on bonds and the return on REITs. However, this does not show up in the data. [Figure 9-6](#) illustrates the rolling 36-month correlation between REIT returns and the returns from the Barclays Capital Intermediate-Term Index.

[Figure 9-7](#) puts an investment in REITs into perspective. It illustrates the benefit of a multi-asset-class portfolio. The risk-and-return chart is based on a portfolio of intermediate-term bonds and an equity allocation of 20 percent REITs and 80 percent in the total stock market. At every point, an allocation to REITs lowered the risk of the portfolio, which in turn increased the long-term return.

FIGURE 9-6